Academic Research Report - Not a Recommendation

Equity Research Report

Hindustan Unilever Limited

Playing the Low margin Game with Franchise Expansion

Company Profile

Hindustan Unilever Ltd. (HUL) is India's largest FMCG company and a subsidiary of Unilever Plc, with a presence across Beauty & Wellbeing, Personal Care, Home Care, Foods & Refreshment and other consumer categories. The company has a portfolio of leading brands such as HUL's Dove, Lux, Lifebuoy, Surf Excel, Vim, Lakmé, Horlicks and Brooke Bond, supported by an extensive distribution network across India. HUL operates across multiple channels including general trade, modern trade, e-commerce and quick commerce, giving it strong reach across both urban and rural markets. Its competitive strength is built around brand leadership, scale, distribution, innovation and strong cash generation. In FY26, HUL reported ₹63,763 crore turnover, 5% underlying sales growth and ₹15,054 crore EBITDA, with a healthy 23.6% EBITDA margin

Overview

HUL continues to demonstrate the resilience typical of a market-leading FMCG franchise, supported by strong brands, pricing power and an extensive distribution network. After a period of subdued consumption, the company has shown improving momentum, with FY26 underlying volume growth reaching 4% and underlying sales growth at 5%. The company is increasingly focusing on premiumisation, high-growth demand spaces, digital channels and innovation to drive sustainable growth. However, near-term performance remains sensitive to commodity inflation, urban consumption trends and competitive intensity. Overall, HUL offers a combination of defensive earnings, strong cash flows and long-term volume-led growth, although its premium valuation limits the margin of safety for investorsthen the premium valuation enjoyed by the company could take a hit.

Key Inputs

- FY26 underlying volume growth reached **4%**, indicating improving consumer demand and a healthier growth mix.
- EBITDA stood at ₹15,054 crore, with an EBITDA margin of 23.6%, demonstrating continued margin resilience
- The company continues to actively reshape its portfolio through acquisitions, disposals and greater focus on high-growth categories.
- Growth in e-commerce and quick commerce, alongside general and modern trade, provides additional avenues for market penetration.
- HUL generated ₹10,496 crore of cash from operations in FY26, supporting dividends and capital allocation
- Growth is increasingly supported by premiumisation, health & wellness, convenience products and e-commerce,

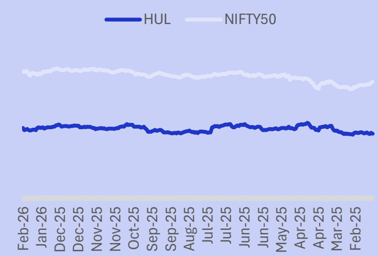
Industry - Fast Moving Consumer Goods

Recommendation	**: XXX**
CMP	**: INR**
Target Price	**: XXX**

Stock Data (as on April 31, 2026)

NIFTY	: 24,252
52 Week H/L (INR)	: 6,337/ 5,035
Market Cap (INR Crs)	: 1,29,226
O/s Shares(Crs)	: 24.1
Dividend Yield (%)	: 1.69%
NSE Ticker	: HINDUNILVR

Relative Stock Performance -- 1Y



Absolute Returns

1 Year	: 12.75%
3 Years	: 17.21%
4 Years	: 17.58%

Shareholding Pattern (June, 2026)

Promoters	: 61.90%
FIIs	: 9.50%
DIIs	: 16.92%
Government	: 0.07%
Public	: 11.60%

Financial Summary

In INR Crores	FY26	FY27E	FY28E
Net Revenue	60680	63763	62221.5
YoY Growth %	***0.02***	***0.05***	***0.035***
EBITDA	14289	15054	14671.5
EBITDA Margin	**23.5%**	**23.6%**	**23.6%**
PAT	10644	10652	10648
YoY Growth %	5%	5%	5%
PAT Margin	**16.5%**	**16.6%**	**16.6%**
ROE	21.60%	22.10%	22.60%
EPS (in INR)	45.3	45.25	45.275

Prepared by: Aryan Prajapati & Krish Budhwar

Academic Research Report - Not a Recommendation

Hindustan Unilever Limited

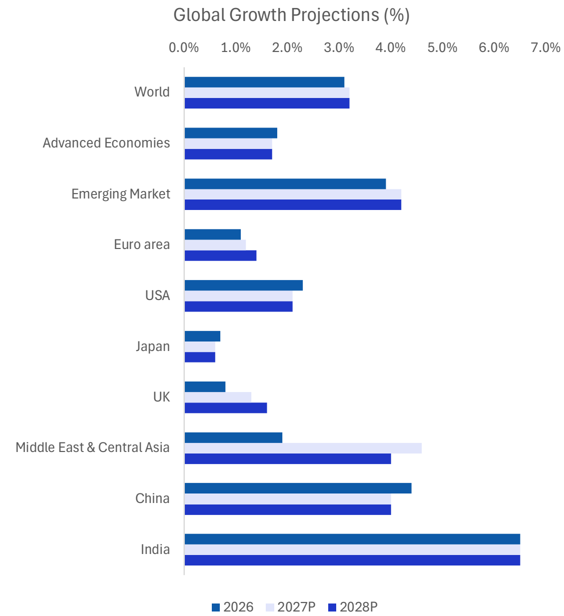
Macroeconomic Analysis

Global Economic Overview

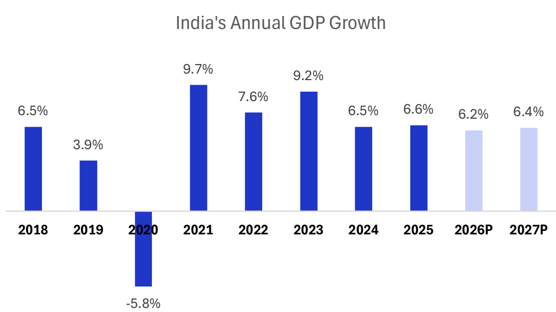
Global growth is projected to remain resilient at 3.3% in 2026 and at 3.2% in 2027. This steady performance results from the balancing of divergent forces. Headwinds from shifting trade policies are offset by tailwinds from surging investment related to technology, including artificial intelligence (AI), more so in North America and Asia than in other regions, as well as fiscal and monetary support, broadly accommodative financial conditions, and adaptability of the private sector. Global headline inflation is expected to decline from an estimated 4.1% in 2025 to 3.8%in 2026 and further to 3.4 % in 2027. The envisage inflation returning to target more gradually in the United States than in other large economies. Growth in advanced economies is projected to be 1.8% in 2026 and 1.7%in 2027. In emerging market and developing economies, growth is expected to continue to hover just above 4.0% in 2026 and 2027. World trade volume growth is expected to decline from 4.1% in 2025 to 2.6% in 2026 and increase to 3.1% in 2027.

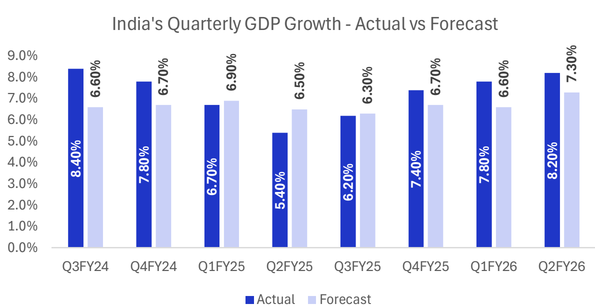
Risks remain tilted to the downside. Reevaluation of productivity growth expectations about AI could lead to a decline in investment and trigger an abrupt financial market correction, spreading from AI-linked companies to other segments and eroding household wealth. Trade tensions could flare up, prolonging uncertainty and weighing more heavily on activity. Domestic political tensions or geopolitical tensions could erupt, introducing new layers of uncertainty and disrupting the global economy through their impact on financial markets, supply chains, and commodity prices. Larger fiscal deficits and high public debt could put pressure on long-term interest rates and, in turn, on broader financial conditions. On the upside, activity could be further lifted by AI-related investment and eventually transform into sustainable growth if faster AI adoption translates into strong productivity gains and increased business dynamism. Activity could also be

Source: IMF World Economic Outlook, April 2026



Source: IMF World Economic Outlook, April 2026





Source: MoSPI

Indian Economy Overview

India's growth is revised upward by 0.7 percentage point to 7.3 percent for 2025, reflecting the better-than expected outturn in the third quarter of the year and strong momentum in the fourth quarter. Growth is projected to moderate to 6.4 percent in 2026 and 2027 as cyclical and temporary factors wane. inflation in India is expected to go back to near target levels after a marked decline in 2025 driven by subdued food prices. A cluster of macro tailwinds converged through calendar 2025 and into 2026: the Reserve Bank of India cut the repo rate by a cumulative 100 basis points since early 2025, headline inflation eased to multi-year lows, personal income tax relief announced in the Union Budget put more disposable income in the hands of the middle class, and the Goods and Services Tax (GST) rate structure was rationalised in September 2025, moving a large share of daily-use items including toilet soap, toothpaste, shampoo, hair oil, talcum powder and packaged foods into the lower tax slabs. Management and analysts alike expect these reforms to support consumption over the medium term, though the near-term effect was disruptive rather than immediately additive, as retailers and distributors paused ordering ahead of the rate change to avoid holding high-taxed inventory, creating a transitory dip in reported sales in the September 2025 quarter before normalising A cluster of macro tailwinds converged through A cluster of macro tailwinds converged through calendar 2025 and into 2026: the Reserve Bank of India cut the repo rate by a cumulative 100 basis points since early 2025, headline inflation eased to multi-year lows, personal income tax relief announced in the Union Budget put more disposable income in the hands of the middle class, and the Goods and Services Tax (GST) rate structure was rationalised.

Source: RBI MPC April 2026, IMF WEO April 2026

Hindustan Unilever Limited

Hindustan Unilever Limited

Indian Consumption Environment

HUL's fortunes are tightly linked to the trajectory of Indian private consumption, which constitutes the majority of the country's GDP. Through much of FY24 and FY25, FMCG volume growth in India remained subdued as elevated cumulative inflation over several years eroded real purchasing power, particularly for lower-income urban households, while a slowdown in urban job creation weighed further on discretionary and even routine spending. Rural demand, by contrast, has been on a gradual recovery path, aided by a favourable monsoon, government support through Minimum Support Price (MSP) increases of roughly 5–6%, and easing food inflation, and for several recent quarters rural growth has run ahead of urban growth a reversal of the historical pattern where urban markets led.

A cluster of macro tailwinds converged through calendar 2025 and into 2026: the Reserve Bank of India cut the repo rate by a cumulative 100 basis points since early 2025, headline inflation eased to multi-year lows, personal income tax relief announced in the Union Budget put more disposable income in the hands of the middle class, and the Goods and Services Tax (GST) rate structure was rationalised in September 2025, moving a large share of daily-use items including toilet soap, toothpaste, shampoo, hair oil, talcum powder and packaged foods into the lower tax slabs. Management and analysts alike expect these reforms to support consumption over the medium term, though the near-term effect was disruptive rather than immediately additive, as retailers and distributors paused ordering ahead of the rate change to avoid holding high-taxed inventory, creating a transitory dip in reported sales in the September 2025 quarter before normalising.

Structural Channel Shift

Alongside the cyclical demand story, India's FMCG landscape is undergoing a structural change in how products reach consumers. Quick commerce ultra-fast delivery platforms offering 10–30 minute fulfilment has grown from a niche urban novelty into a mainstream channel, and HUL has reported quick-commerce sales roughly doubling year-on-year, alongside e-commerce turnover growth in excess of 25%. This has forced legacy FMCG players, including HUL, to build dedicated organisational capability (separate teams, differentiated pack sizes and assortments, and data-led fulfilment) rather than simply layering digital sales onto a general-trade-oriented operating model. At the same time, general trade the traditional kirana-store backbone of Indian FMCG distribution remains the largest channel by volume, and HUL continues to invest in strengthening its reach and service levels there even as quick commerce captures a growing share of incremental, impulse-led and premium purchases in larger cities.

Source: MoSPI

Source: RBI MPC April 2026, IMF WEO April 2026

Hindustan Unilever Limited

Industry Analysis

Global Fast Moving Consumer Goods Industry

The **global FMCG market remains structurally attractive**, supported by recurring consumer demand, rising disposable incomes, urbanisation and increasing penetration of modern retail and e-commerce. The market is projected to grow by **4.6% in value terms in 2025 to around US$6.6 trillion**, with growth increasingly driven by emerging markets, health & wellness, premiumisation and digital channels. However, growth remains **largely price-led**, as elevated living costs are making consumers more value-conscious and encouraging trading down and private-label adoption. Emerging markets, particularly **India and Brazil, are expected to be key growth engines**, while categories such as soft drinks, beauty & personal care and health-oriented products offer strong opportunities. Overall, the industry is shifting toward a **value-conscious, digitally enabled and health-focused consumer**, creating opportunities for large FMCG players with strong brands, distribution networks and the ability to innovate across price segments.

Indian Fast Moving Consumer Goods

India's FMCG sector is the fourth-largest sector in the Indian economy and one of the largest employment generators in organised consumer manufacturing, providing direct employment to an estimated 3 million people. Market-size estimates vary meaningfully across research houses depending on scope and methodology, but the most widely cited industry-body figures (IBEF, drawing on NielsenIQ and other trackers) put the Indian FMCG market at approximately US$289 billion (roughly INR 25 lakh crore) in 2025, with a projected CAGR of around 17% through 2030, taking the market to roughly US$643 billion by the end of the decade. Separately, KPMG's quarterly FMCG sector trackers reference a projected market size of INR 55 trillion by FY27 at a CAGR of ~28% off a FY21 base, alongside a projected annual gross merchandise value of roughly INR 30 trillion by 2030 for FMCG e-commerce specifically. The wide range across estimates (from roughly 5% to 25%+ CAGR, depending on source and base year) reflects differences in how each estimate treats food-processing/staples versus branded packaged FMCG, and how aggressively each projects e-commerce and quick-commerce growth; the consistent thread across all estimates, however, is that India remains one of the largest and fastest-structurally-growing consumer markets globally, and that growth is increasingly rural- and digitally-led rather than purely urban-led.
For FY26 specifically, industry trackers (IBEF, KPMG) have pointed to a more modest, single-digit revenue growth outlook of roughly 6–8%, a step-up of 100–200 basis points versus FY25, aided by GST rationalisation, easing food inflation, and improving urban demand, even as overall volume growth in calendar 2025 moderated to roughly 4.1% (from 4.7% in 2024) amid a sharper-than-expected rural slowdown mid-year before recovering later in the year.

Hindustan Unilever Limited

Indian Consumption Environment

HUL's fortunes are tightly linked to the trajectory of Indian private consumption, which constitutes the majority of the country's GDP. Through much of FY24 and FY25, FMCG volume growth in India remained subdued as elevated cumulative inflation over several years eroded real purchasing power, particularly for lower-income urban households, while a slowdown in urban job creation weighed further on discretionary and even routine spending. Rural demand, by contrast, has been on a gradual recovery path, aided by a favourable monsoon, government support through Minimum Support Price (MSP) increases of roughly 5–6%, and easing food inflation, and for several recent quarters rural growth has run ahead of urban growth a reversal of the historical pattern where urban markets led.

A cluster of macro tailwinds converged through calendar 2025 and into 2026: the Reserve Bank of India cut the repo rate by a cumulative 100 basis points since early 2025, headline inflation eased to multi-year lows, personal income tax relief announced in the Union Budget put more disposable income in the hands of the middle class, and the Goods and Services Tax (GST) rate structure was rationalised in September 2025, moving a large share of daily-use items including toilet soap, toothpaste, shampoo, hair oil, talcum powder and packaged foods into the lower tax slabs. Management and analysts alike expect these reforms to support consumption over the medium term, though the near-term effect was disruptive rather than immediately additive, as retailers and distributors paused ordering ahead of the rate change to avoid holding high-taxed inventory, creating a transitory dip in reported sales in the September 2025 quarter before normalising.

Structural Channel Shift

Alongside the cyclical demand story, India's FMCG landscape is undergoing a structural change in how products reach consumers. Quick commerce ultra-fast delivery platforms offering 10–30 minute fulfilment has grown from a niche urban novelty into a mainstream channel, and HUL has reported quick-commerce sales roughly doubling year-on-year, alongside e-commerce turnover growth in excess of 25%. This has forced legacy FMCG players, including HUL, to build dedicated organisational capability (separate teams, differentiated pack sizes and assortments, and data-led fulfilment) rather than simply layering digital sales onto a general-trade-oriented operating model. At the same time, general trade the traditional kirana-store backbone of Indian FMCG distribution remains the largest channel by volume, and HUL continues to invest in strengthening its reach and service levels there even as quick commerce captures a growing share of incremental, impulse-led and premium purchases in larger cities.

Source: MoSPI

Source: RBI MPC April 2026, IMF WEO April 2026

Hindustan Unilever Limited

Earnings Call Analysis

Demand and Volume Trends

Underlying volume growth has been the central swing factor in HUL's recent quarterly narratives. After a soft patch through FY25, volumes rebounded to around 4% in Q1 FY26 as both rural and urban demand showed signs of improvement, before the September-2025 GST transition caused a near-term air pocket underlying volume growth came in roughly flat in Q2 FY26 as distributors and retailers paused ordering ahead of the new, lower tax rates on close to 40–50% of the portfolio. Management characterised this as a transitory, self-correcting disruption rather than a demand problem, and this was borne out as growth reaccelerated sharply through subsequent quarters, with CEO Priya Nair noting that growth strengthened from roughly 3% in the first half of FY26 to around 10% in a subsequent quarter, aided by GST-led affordability, easing inflation and improving rural incomes.

Segment-Level Commentary

- Home Care has consistently been flagged as the strongest-performing segment, delivering steady volume-led growth and margin resilience, helped by continued premiumisation into liquids and market-share gains in fabric wash.
- Beauty & Wellbeing has been the most challenged segment in recent quarters, with legacy brands such as Glow & Lovely and Horlicks facing slower growth or share pressure; management has flagged brand relaunches and portfolio interventions (including pack-size upgradation for Horlicks) as multi-quarter turnaround efforts rather than quick fixes.
- Personal Care has seen periods of decline driven by weakness in mass personal wash (soaps), a category facing the sharpest competitive intensity from smaller regional and D2C players.
- Foods & Refreshment, led by Tea and Coffee, has delivered comparatively steady double-digit growth in beverages, while packaged foods within the "Future Core" and "Market Maker" portfolio have also performed well.
- New-age health and wellbeing bets (OZiva, Wellbeing Nutrition, Minimalist) have grown at a very high pace off a small base, though management has cautioned that growth in these categories will not be linear given their smaller scale.

Margins and Cost Environment

Management has guided EBITDA margins broadly in the 22–23% range on a consolidated basis, with the completion of the Ice Cream demerger expected to add a further 50–60 basis points structurally, since the ice cream business historically carried a lower margin profile. Input costs have remained a mixed picture softer crude-linked and soda-ash costs have been offset by elevated palm oil and tea prices, along with rupee depreciation affecting import-linked inputs prompting a stated approach of calibrated, need-based pricing rather than broad-based price hikes, alongside continued cost-saving and productivity programmes to protect margin and fund reinvestment in brand-building and digital capability.

Management Tone and Outlook

Across recent calls, management tone has shifted from cautious and defensive (through FY25, amid weak urban demand and intensifying competition) to more confident by mid-FY26, as GST-led affordability gains, lower inflation and improving rural incomes fed through into faster, broader-based volume growth. Management has stated an expectation that FY27 will be better than FY26, while flagging that commodity and currency volatility remain watch items, and that the Company's response will continue to be disciplined pricing, structural cost savings, and judicious media investment rather than a return to price-led growth.

Hindustan Unilever Limited

Management Analysis

Key Managerial Personnel

Below are the details and experience of the Key Managerial Personnel:

S.No.	Name	Designation	Qualification	Comments
1	Ms Priya Nair	Chief Executive Officer and Managing Director	Joined HUL in 1995 in the Consumer Insights team; 30-year Unilever/HUL career	Rose through Consumer Insights, Customer Development and Marketing across Dove, Axe, Rexona, Closeup, Pepsodent and the Laundry portfolio, and most recently served as Unilever's Global President, Beauty & Wellbeing, managing a multi-billion-euro global portfolio. First woman to lead HUL as MD & CEO in the Company's 90-plus year history; her track record in premiumisation and brand relaunch (e.g. the rural mobile marketing initiative 'Kan Khajura Tesan', which won three Cannes Lions Gold awards) supports the Board's confidence in her ability to execute HUL's current portfolio-reshaping agenda.
2	Mr Niranjan Gupta	Executive Director, Finance and Chief Financial Officer	Career finance leader; two decades in HUL leadership roles before external CEO/CFO stints	A HUL veteran who began his career at the Company and later moved to Vedanta Ltd, then to Hero MotoCorp where he was elevated to CEO in 2023. His return to HUL as CFO (effective September 2025, succeeding Ritesh Tiwari) brings rare cross-industry P&L and CEO-level experience to the finance function, seen as a strength during a period of major corporate actions (the Ice Cream demerger, multiple M&A transactions).
3	Mr B.P. Biddappa	Executive Director, Chief People, Transformation and Sustainability Officer	Bachelor's in Economics, Delhi University; MBA in HR, XLRI Jamshedpur	Over three decades at Unilever, starting with a factory stint in Orai (UP) before moving through supervisory development, corporate learning, and global HR leadership roles across Unilever Maghreb, Bangladesh and Asia. Instrumental in setting up HUL's 'Winning in Many Indias' operating framework and the Prabhat community development programme (impacting over 10 million Indians). His elevation to also cover Transformation and Sustainability reflects the Company's intent to link organisational change and ESG agendas directly to the CHRO function.
4	Mr. Rajneet Kohli	Executive Director, Foods	~28-30 years' experience across consumer goods, retail and QSR	Joined HUL in April 2025 as former CEO & Executive Director of Britannia Industries, where he strengthened the company's food and bakery leadership through innovation and digital transformation. Earlier held senior roles at Domino's India/Jubilant FoodWorks (scaling to 1,750+ COCO restaurants) and a decade-plus at The Coca-Cola Company across franchise/bottling operations. His external, cross-category FMCG/QSR background is a departure from HUL's more typical practice of promoting long-tenured internal Unilever executives into Executive Director roles, and reflects the priority placed on turning around the underperforming Lifestyle Nutrition (Horlicks/Boost) category.
5	Dr. Vibhav Sanzgiri	Executive Director, Research & Development	PhD-qualified scientist; long-tenured HUL/Unilever R&D leader	A long-serving member of HUL's Management Committee overseeing the Company's R&D agenda across categories, including formulation science underpinning premiumisation initiatives (liquids, serums, actives-led skincare). His continuity through multiple CEO transitions provides institutional stability to HUL's innovation pipeline, an area increasingly critical given competitive pressure from ingredient-led D2C challenger brands.
6	Mr. Yogesh Mishra	Executive Director, Supply Chain	32+ years at HUL across manufacturing, quality, planning and technology; joined HUL in 1990	Previously Vice President, Supply Chain for Beauty & Personal Care; appointed Executive Director, Supply Chain in September 2022, succeeding Willem Uijen. Credited with driving the 'Winning in Many Indias' supply-chain agenda and setting up 'nano factories' for greater manufacturing agility and flexibility - directly relevant to HUL's current need for a more responsive supply chain capable of servicing the fast-cycle-time demands of quick commerce alongside traditional general trade.
7	Ms. Vandana Suri	Executive Director, Home Care	Career HUL/Unilever marketing and general-management leader	Appointed to the Management Committee effective 1 January 2026, succeeding Srinandan Sundaram (who moved to lead Unilever International as CEO). Previously led HUL's premium laundry portfolio and, as Vice President for Skin Care & Colour Cosmetics in Beauty & Wellbeing, charted a premiumisation pathway for that category; most recently served as General Manager for Beauty & Wellbeing in Indonesia, driving a business transformation agenda. Her cross-category (Beauty & Wellbeing to Home Care) move is consistent with Unilever's practice of rotating high-potential leaders across business groups and geographies before installing them in large domestic-market roles.
8	Ms. Harman Dhillon	Executive Director, Beauty & Wellbeing	Long-tenured HUL Beauty & Wellbeing category leader	Appointed Executive Director, Beauty & Wellbeing effective 1 April 2024, having previously served as India Skin Care Head. Took charge of the segment at a period when Skin Care and Colour Cosmetics were the weakest-performing part of HUL's portfolio, making her mandate to stabilise and reposition legacy brands such as Glow & Lovely, while continuing to scale Hair Care and the newer D2C/premium beauty acquisitions (Minimalist, OZiva), one of the more closely watched turnaround assignments on the Management Committee.
9	Mr. Viput Mathur	Executive Director, Personal Care	Career HUL/Unilever category leadership background	Leads the Personal Care segment (skin cleansing, oral care, deodorants) at a time when the category has faced the most pronounced GST-transition disruption and mass-soap competitive pressure of any HUL segment. His mandate centres on defending category leadership in oral care and deodorants while scaling the structurally faster-growing bodywash/liquid-soap format-upgrade opportunity.
10	Mr. Arun Neelakantan	Executive Director, Customer Development	Career HUL/Unilever digital and commercial leadership background	Previously Head of Digital Transformation and Growth - South Asia, and was appointed Chief Digital Officer on the Management Committee effective 1 January 2024 before moving into the Customer Development (sales/distribution) leadership role. His digital-transformation background is directly relevant to Customer Development's current priority - building differentiated, dedicated capability across quick commerce, e-commerce, modern trade and general trade channels.
11	Dr. Vivek Mittal	Executive Director, Research & Development Executive Director, Legal & Corporate Affairs	Long-tenured HUL/Unilever leadership across R&D and legal/regulatory functions	Appointed Executive Director, Legal & Corporate Affairs in late 2024, succeeding Dev Bajpai following the latter's early retirement announcement. The Company's public disclosures list him across both an R&D and a Legal & Corporate Affairs designation, consistent with Unilever's practice of moving senior scientific/technical leaders into governance-facing roles; in his Legal & Corporate Affairs capacity he oversees the Company's regulatory, compliance and public-policy interface at a time of active GST transition, labour-code implementation and the Ice Cream demerger's regulatory approvals.

Hindustan Unilever Limited

Independent Directors

Below are the details and experience of the Independent Directors:

S.No.	Name	Designation	Qualification	Comments
1	Mr Nitin Paranjpe	Chairman and Non-Executive Director	Extensive capital-markets and financial-services leadership background	Former Managing Director & CEO of CRISIL Limited, and has held senior leadership roles at Fidelity International/FIL India and IDFC Mutual Fund. Her deep expertise in credit assessment, risk analytics and asset management brings strong financial-risk and capital-allocation oversight capability to the Board, relevant given HUL's ongoing portfolio restructuring (demergers, M&A) and capital-return decisions.
2	Ms Ashu Suyash	Independent Director	Chartered Accountant; decades of tax, regulatory and M&A advisory experience	Appointed to the HUL Board effective 1 December 2025 for a five-year term. Co-founded BMR Advisors, served as CEO of Ernst & Young India, and held senior leadership roles including Country Managing Partner at Arthur Andersen. Currently holds directorships at Infosys, Biocon and IndoStar Capital, among others, and has advised businesses through India's evolving tax and regulatory landscape. His appointment brings deep financial-strategy and regulatory-framework expertise to the Board at a time of significant corporate restructuring (Ice Cream demerger, GST transition, evolving FDI and labour-code norms).
3	Mr. Bobby Parikh	Independent Director	Bachelor's in Economics, St. Stephen's College, Delhi; MBA, Faculty of Management Studies, Delhi University	Veteran technology-industry executive with senior leadership roles across HCL, IBM, Microsoft India (Managing Director, 2005-08) and Hewlett-Packard India/HP Enterprise, culminating in her role as Vice President, Asia Pacific & Japan for Hewlett Packard Enterprise until 2018. Currently a non-executive director at ICICI Bank, Capita PLC, Fractal Analytics and Yatra Online, and Chairperson of Capillary Technologies. Chairs HUL's Nomination & Remuneration Committee and sits on the Audit, Risk Management and CSR-ESG Committees. Repeatedly recognised by Fortune, Forbes and Business Today as one of the most powerful women in Indian business; her expertise in managing complex, matrixed technology businesses is directly relevant to HUL's ongoing digital and quick-commerce transformation.

Hindustan Unilever Limited

S.No.	Name	Designation	Qualification	Comments
4	Ms Neelam Dhawan	Independent Director	PhD (Organisational Behaviour); faculty at Harvard Business School	A globally recognised management academic and the Jaime and Josefina Chua Tiampo Professor at Harvard Business School, with research
5	Mr Ranjay Gulati	Independent Director	Chartered Accountant; decades of tax, regulatory and M&A advisory experience	Veteran technology-industry executive with senior leadership roles across HCL, IBM, Microsoft India (Managing Director Fractal Analytics and Yatra Online, and Chairperson of Capillary Technologies.
6	Mr Tarun Bajaj	Independent Director	Former Indian Administrative Service (IAS) officer; former Union Revenue Secretary, Government of India	Brings a rare vantage point into Indian fiscal, tax and regulatory policymaking from his career in the Indian civil service, including as Revenue Secretary

Commentary

HUL’s management bench continues to reflect the Unilever group’s long-standing practice of rotating senior executives through the Indian business as a global leadership proving ground both the outgoing CEO and the current Chairman previously held senior regional or global roles at Unilever, and the new CEO herself returns from a global brand leadership position. This has historically been a source of strength (a deep leadership pipeline and access to global brand and R&D resources) but has also meant relatively frequent leadership turnover at the top, as seen in Mr Jawa’s comparatively short roughly two-year tenure. The near-simultaneous change of both CEO and CFO in the second half of calendar 2025 represents a period of elevated key-person transition risk, though the appointment of Ms Nair seen by analysts as a strong, brand-building-oriented internal-to-Unilever choice was received positively by the market, with the stock rallying on the announcement. No explicit political affiliations or conflicts of interest were identified for the Company’s key managerial personnel or independent directors based on publicly available disclosures.

Shareholding Pattern

HUL’s promoter holding has remained stable at 61.90% since FY21, with no further promoter buying, dilution, or pledging, while the earlier decline from ~67% was primarily due to the equity issuance following the GSK Consumer Healthcare merger. In contrast, FII holding has steadily declined from ~14–15% during FY21–23 to 9.50% by Jun-26, reflecting sustained foreign investor selling and broader rotation away from Indian FMCG stocks. This has been largely offset by DII holding, which increased from ~10.7% in FY21 to 16.92% by Jun-26, indicating stronger participation from domestic mutual funds and insurers. Public holding also marginally declined from ~12.5% to 11.60% over the period. Overall, the shareholding pattern highlights a clear trend of stable promoter ownership, declining FII participation, and rising DII ownership, broadly consistent with the wider FMCG sector trend.

Presented below is the company's annual shareholding pattern:

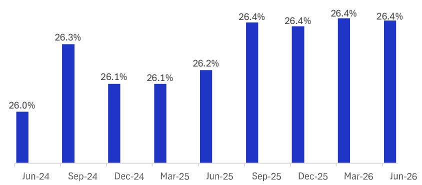
Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Promoters	61.9%	61.9%	61.9%	61.9%	61.9%
FIIs	13.7%	14.4%	12.7%	10.6%	10.1%
DIIs	11.6%	11.5%	13.2%	15.5%	16.3%
Government	0.0%	0.0%	0.0%	0.1%	0.1%
Public	12.8%	12.2%	12.2%	11.9%	11.6%

Hindustan Unilever Limited

Presented below is the company's quarterly shareholding pattern:

Particulars	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Promoters	61.9%	61.9%	61.9%	61.9%	61.9%	61.9%	61.9%	61.9%	61.9%
FIIs	11.9%	12.2%	11.4%	10.6%	10.2%	10.8%	10.7%	10.1%	9.5%
DIIs	14.1%	14.1%	14.7%	15.5%	16.0%	15.6%	15.7%	16.3%	16.9%
Government	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%
Public	12.1%	11.8%	11.9%	11.9%	11.9%	11.6%	11.6%	11.6%	11.6%

Institutional Holding



Management Remenuration

During FY26, the board agreed to pay remuneration of INR 58.55 cr to the Executive Directors, which is 1.4x of the INR 41.49 cr paid in FY25. The further elaboration is presented below:

Name	Designation	Ratio to the median remuneration of the employees	FY25	FY26	% increase in remuneration	Sales Growth YoY%	Net Profit YoY%
Priya Nair	Managing Director	162x	-	18.19	-	5.00%	-0.30%
Rohit Jawa	Former Managing Director	173x	23.23	14.44	-38%	5.00%	-0.30%
Niranjan Gupta	Whole Time Director	63x	-	5.08	-	5.00%	-0.30%
Ritesh Tiwari	Whole Time Director	76x	9.39	7.44	-21%	5.00%	-0.30%
B.P. Biddappa	Whole Time Director	80x	8.87	13.4	51%	5.00%	-0.30%
Total		111x	41.49	58.55	41%	5.00%	-0.30%

The average ratio of the remuneration of the Executive Directors to the median compensation of the employees of the Company for the FY26 was 111x, which was considerably higher than the peers and the industry average.
he upside of 100% in the remuneration of the Executive Directors is attributed to the fact that they had voluntarily waived 50% of their approved remuneration for the FY23 and have taken full remuneration for FY24. And, the percentage increase in the median remuneration of employees in the financial year 2023-24 was a meagre 5%. The revenue in the last 3 years has grown with a CAGR of 29%, while the remuneration of the Executive Directors for the same period has grown with a CAGR of 2% only.

Company	Ratio to median remuneration of employees
HUL	111x
ITC	196x
NESTLEIND	133x
VBL	172x
BRITANNIA	136x
Median	136x
Average	150x

Particulars	Mar-23	Mar-24	Mar-25	Mar-26
Revenue Growth	15.5%	2.2%	-0.9%	5.1%
Net Profit Growth	14.1%	1.4%	3.9%	-0.3%
Executive Directors' Remuneration				
Executive Directors' Remuneration Growth				

Hindustan Unilever Limited

Financial Statements Analysis

Quarterly Financial Performance - Consolidated

(figures in INR Crores)

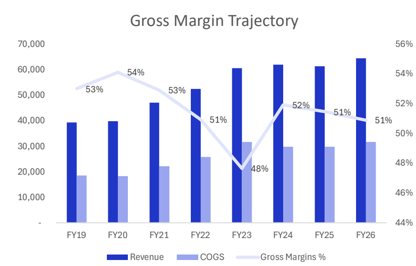
	FY25				FY26			
Particulars	**Q1**	**Q2**	**Q3**	**Q4**	**Q1**	**Q2**	**Q3**	**Q4**
Revenue	15,707	15,926	15,556	15,190	16,514	16,241	16,441	16,351
COGS	7,545	7,709	7,600	7,406	8,241	7,893	7,991	8,131
Gross Profit	**8,162**	**8,217**	**7,956**	**7,784**	**8,273**	**8,348**	**8,450**	**8,220**
Gross Margin (%)	*52.0%*	*51.6%*	*51.1%*	*51.2%*	*50.1%*	*51.4%*	*51.4%*	*50.3%*
SG&A Expenses	4,418	4,424	4,267	4,165	4,555	4,619	4,662	4,379
EBITDA	**3,744**	**3,793**	**3,689**	**3,619**	**3,718**	**3,729**	**3,788**	**3,841**
EBITDA Margin (%)	*24%*	*24%*	*24%*	*24%*	*23%*	*23%*	*23%*	*23%*
Depreciation	329	338	318	318	361	358	337	348
EBIT	**3,415**	**3,455**	**3,371**	**3,301**	**3,357**	**3,371**	**3,451**	**3,493**
EBIT Margin (%)	*21.7%*	*21.7%*	*21.7%*	*21.7%*	*20.3%*	*20.8%*	*21.0%*	*21.4%*
Interest/Finance cost	93	110	109	77	127	129	88	76
Other Income	257	219	232	309	201	147	139	264
Profit before tax and exceptional items	**3579**	**3564**	**3494**	**3533**	**3431**	**3389**	**3502**	**3681**
Exceptional Items	50	22	(539)	135	128	(181)	583	(243)
Profit before tax	**3529**	**3542**	**4033**	**3398**	**3303**	**3570**	**2919**	**3924**
Tax (%)	26.0%	26.7%	24.9%	26.4%	16.2%	24.5%	27.4%	23.5%
Net Profit	**2,612**	**2,595**	**3,027**	**2,501**	**2,768**	**2,694**	**2,118**	**3,002**
Net Profit Margin (%)	*16.6%*	*16.3%*	*19.5%*	*16.5%*	*16.8%*	*16.6%*	*12.9%*	*18.4%*

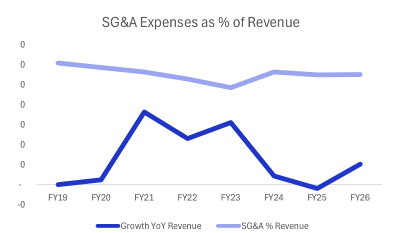
Source: Company Analysis

Annual Financial Performance - Consolidated

Particulars	**FY19**	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**	**FY25**	**FY26**
Revenue	39,310	39,783	47,028	52,446	60,580	61,896	61,328	64,468
Revenue Growth YoY (%)	-	*1%*	*18%*	*12%*	*16%*	*2%*	*-1%*	*5%*
COGS	18,474	18,259	22,148	25,735	31,716	29,760	29,770	31,665
Gross Profit	**20,836**	**21,524**	**24,880**	**26,711**	**28,864**	**32,136**	**31,558**	**32,803**
Gross Margin (%)	*53%*	*54%*	*53%*	*51%*	*48%*	*52%*	*51%*	*51%*
SG&A Expenses	11,956	11,663	13,254	13,854	14,716	17,473	16,852	17,749
EBITDA	**8,880**	**9,861**	**11,626**	**12,857**	**14,148**	**14,663**	**14,706**	**15,054**
EBITDA Margin (%)	*23%*	*25%*	*25%*	*25%*	*23%*	*24%*	*24%*	*23%*
Depreciation	565	1,002	1,074	1,091	1,137	1,216	1,253	1,333
EBIT	**8,315**	**8,859**	**10,552**	**11,766**	**13,011**	**13,447**	**13,453**	**13,721**
EBIT Margin (%)	*21%*	*22%*	*22%*	*22%*	*21%*	*22%*	*22%*	*21%*
Interest/Finance Cost	33	118	117	106	114	334	381	410
Other Income	550	632	410	258	512	811	1017	751
Profit before tax and exceptional items	**8,832**	**9,373**	**10,845**	**11,918**	**13,409**	**13,924**	**14,089**	**14,062**
Exceptional items	228	200	239	44	65	-2	-339	250
Profit before tax	**8,604**	**9,173**	**10,606**	**11,874**	**13,344**	**13,926**	**14,428**	**13,812**
Tax (%)	30%	26%	25%	25%	24%	26%	26%	23%
Net Profit	**6,060**	**6,764**	**8,000**	**8,887**	**10,143**	**10,282**	**10,680**	**10,652**
Net Profit Margin (%)	*15.4%*	*17.0%*	*17.0%*	*16.9%*	*16.7%*	*16.6%*	*17.4%*	*16.5%*

Source: Company Analysis





Equity Shares	216.47	216.48	234.96	234.96	234.96	234.96	234.96	234.96
eps	27.99	31.25	34.05	37.82	43.17	43.76	45.45	45.33
	30.4%	29.3%	28.2%	26.4%	24.3%	28.2%	27.5%	27.5%

Hindustan Unilever Limited

Hindustan Unilever Limited

Financial Statements Analysis

Balance Sheet figures - Consolidated

Particulars	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Equity Share Capital	216	216	235	235	235	235	235	235
Reserves	7,651	8,013	47,439	48,826	50,069	50,983	49,167	48,504
Non-Controlling Interests	18	17	20	26	218	205	207	269
Borrowings	394	939	1,027	1,098	1,667	1,824	1,923	2,345
Other Non-Current Liabilities	1,683	1,651	8,933	9,052	8,870	12,376	11,811	12,850
Current Liabilities	8,667	9,317	11,103	11,280	12,028	12,876	16,537	15,549
Total Liabilities	**18,629**	**20,153**	**68,757**	**70,517**	**73,087**	**78,499**	**79,880**	**79,752**
Net Block	4,679	5,443	34,046	34,076	35,212	36,278	36,869	39,366
Goodwill	36	36	17,316	17,316	17,466	17,466	17,466	18,062
Capital Work in Progress	406	597	745	1,313	1,132	1,025	1,009	880
Investments	228	243	870	846	825	864	852	906
Other Non-Current Assets	1,366	1,513	1,563	1,444	1,454	1,542	1,633	1,517
Current Assets	11,914	12,321	14,217	15,522	16,998	21,324	22,051	19,021
Total Assets	**18,629**	**20,153**	**68,757**	**70,517**	**73,087**	**78,499**	**79,880**	**79,752**
Working Capital	3,247	3,004	3,114	4,242	4,970	8,448	5,514	3,472
Payables	7,206	7,535	8,802	9,068	9,574	10,486	12,332	13,225
Debtors	1,816	1,149	1,758	2,236	3,079	2,997	3,819	3,379
Inventory	2,574	2,767	3,579	4,096	4,251	4,022	4,415	4,789
Cash & Bank	621	3,216	1,842	1,147	714	825	6,071	2,583
Change in NWC		(243)	110	1,128	728	3,478	(2,934)	(2,042)

Source: Company Analysis

Cash Flow figures - Consolidated

Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Cash from Operating Activity (CFO)	9,048	9,991	15,469	11,886	10,999
CFO Growth YoY		*10%*	*55%*	*-23%*	*-7%*
Cash from Investing Activity	(1,728)	(1,494)	(5,324)	6,473	(3,684)
Cash from Financing Activity	(8,015)	(8,953)	(10,034)	(13,101)	(10,810)
Net Cash Flow	(695)	(456)	111	5,258	(3,495)
CFO/Sales	17.3%	16.5%	25.0%	19.4%	17.1%
CFO/Net Profit	101.8%	98.5%	150.5%	111.3%	103.3%
CFO/EBITDA	70.4%	70.6%	105.5%	80.8%	73.1%
Capex	1,053	1,011	1,457	1,815	1,443
FCFF	7,716	9,288	6,209	12,330	12,514
FCF Growth YoY		*20.4%*	*-33.1%*	*98.6%*	*1.5%*
FCF/Sales	14.7%	15.3%	10.0%	20.1%	19.4%
FCF/Net Profit	86.8%	91.6%	60.4%	115.5%	117.5%

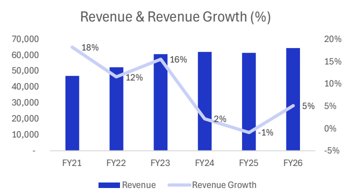
Source: Company Analysis

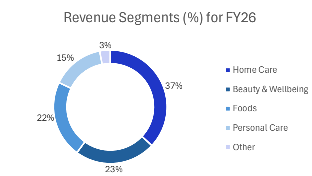
Hindustan Unilever Limited

Commentary on various line items:

Revenue

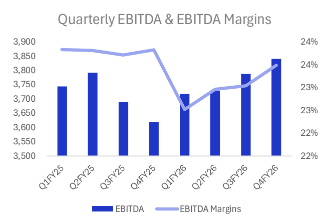
Hindustan Unilever's consolidated revenue (continuing operations basis) stood at INR 64,468 crore in FY26, up from INR 61,328 crore in FY25, a growth of 5.1% YoY, following a marginally negative FY25 (down 0.9% over FY24's INR 61,896 crore). Over the last five years, revenue growth has averaged only around 7% on a compounded basis, a sluggish pace that Screener itself flags as a weakness for a company of HUL's scale, and the 3-year CAGR has slowed further to roughly 2%, reflecting weak volume growth, price cuts in soaps and detergents to counter regional and D2C competition, and subdued rural demand for much of FY24-25.
Revenue is also going through a portfolio reset. In FY25, HUL announced the demerger of its ice cream business (Kwality Wall's, Cornetto, Magnum, Feast) into a separately listed entity, Kwality Wall's (India) Ltd; the demerger became effective 1 December 2025 and KWIL listed on the NSE/BSE on 16 February 2026. The ice cream business contributed around 3% of HUL's FY25 turnover (~INR 1,783 crore), so its removal mechanically trims reported revenue going forward, even as it is expected to lift the residual EBITDA margin by 50-60 bps given ice cream's structurally low single-digit margins. Alongside this, HUL completed the acquisition of a 90.5% stake in D2C personal care brand Minimalist (deal size ~INR 2,706 crore) and divested its water-purifier brand Pureit, continuing the portfolio's shift toward premium, high-growth personal care and away from lower-margin, working-capital-heavy categories.

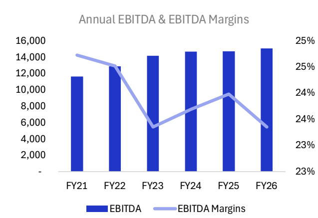




EBITDA and EBITDA margins

Consolidated operating profit (EBITDA) for FY26 was INR 15,039 crore against INR 14,698 crore in FY25, up 2.3% YoY, while the operating margin (OPM) eased slightly to 23.3% in FY26 from 24.0% in FY25. On a standalone, continuing-operations basis for the December 2025 quarter, HUL reported EBITDA of INR 3,640 crore, broadly steady, even as reported net profit was distorted by the one-time INR 4,611 crore exceptional gain booked on the Kwality Wall's demerger (the fair value of the transferred business exceeded its book value); excluding this exceptional item, PAT from continuing operations grew only about 1% YoY, underscoring that the underlying operating performance has been far steadier than the headline profit numbers suggest.
The EBITDA margin trajectory over FY22-FY26 has been range-bound in the 23-25% band, higher than most FMCG peers barring Colgate-Palmolive, but the trend is mildly downward from the 25% highs of FY21-22. Rising advertising and promotion spend to defend market share against regional and D2C challengers (in categories like skin cleansing, oral care and personal care), coupled with input-cost volatility in palm oil and crude-linked derivatives, has kept margin expansion muted despite HUL's scale and pricing power. Management guidance through FY25-26.





Hindustan Unilever Limited

Commentary on various line items:

Margins:

Despite the consistent revenue growth, the margins of the company are not at a comfortable level. The gross margin is on a downtrend since FY21, due to increasing raw material prices, i.e., gold. The gross margin for FY25 stood at 13.1%, down from 17% in FY21 because during the same time period, the COGS increased from 83% to 87%.

The EBITDA margin for FY25 was 6.1%, down from 7.9% achieved in FY23, despite the continuous decrease in Selling, General & Administration (SG&A) expenses as a percentage of total revenue from 10% in FY21 to 7% in FY25. On a percentage basis, the other cost is decreasing because of higher base and operational efficiency, but the employee cost is increasing because of heavy expansion. Advertisement expenses have been increasing since FY21 to tackle the intense competition from local, regional, and national players. The downward trajectory of the EBITDA margin is owed to the franchise-model expansion as the FOCO showrooms' margin is lower than the COCO showrooms, and is expected to remain in the range of 6%-6.5% in the medium term.

The EBIT margin of the company for FY25 came at 4.7%, as against 6.2% in FY23, on the back of increasing depreciation costs due to the expansion of the store network. It is expected to show some improvement in the medium term, as going forward, the depreciation cost will be lowered due to decreasing CapEx under the new franchise agreement, in which the investment in both inventory and fixed assets is done by the franchise partner, not the company.

The PBT and PAT margins for the FY25 stood at 3.8% and 2.9% respectively, which were consistently showing improvement since FY21, dropped this year due to a one-off regarding customs duty cut by the government and other factors. These margins are likely to show the upward trend due to the FOCO expansion, as in the franchise showrooms, PBT and PAT margins maintained by the company are higher. Also, the debt reduction is on the cards, which will reduce the interest expenses, eventually aiding the margins. At the industry level, the gross margin of the company is consistent with the industry average, but the EBITDA and EBIT margins are lower despite being the 2nd largest player in the market. Certainly, the industry averages are tweaked because of the industry leader (Titan), which enjoys highly superior margins, but still being the 2nd largest player, the company's performance is not satisfactory on the margins front and according to the plans laid by the management regarding the aggressive expansion, the margins are expected to remain under pressure in the medium term.

Inventory

HUL's inventory efficiency has been broadly stable but has drifted up modestly in the last two years. Inventory days stood at 55 in both FY23 and FY24, rose to 61 in FY25, and held at 61 in FY26. This is a marked improvement versus the FY18-21 period, when inventory days ran between 65 and 77, reflecting years of continuous supply-chain and SKU-rationalisation efforts. The modest uptick since FY24 is consistent with the buildup of inventory ahead of the Kwality Wall's demerger and the integration of newly acquired brands such as Minimalist, both of which temporarily add pipeline stock as new manufacturing, distribution and packaging arrangements are set up.

Relative to industry, HUL's inventory days remain competitive for a diversified FMCG portfolio spanning home care, personal care and (until FY26) foods and ice cream — categories with materially different shelf lives and replenishment cycles. The company's scale in distribution (reaching several million retail outlets) and mature demand-forecasting systems help keep inventory levels lean compared to smaller or more discretionary-category peers.

Academic Research Report

Hindustan Unilever Limited

Financial Ratios Analysis:

Profitability Ratios

Historical Margins	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Gross Profit Growth		3.3%	15.6%	7.4%	8.1%	11.3%	-1.8%	3.9%
Gross Margin	53.0%	54.1%	52.9%	50.9%	47.6%	51.9%	51.5%	50.9%
EBITDA Growth		11.0%	17.9%	10.6%	10.0%	3.6%	0.3%	2.4%
EBITDA Margin	22.6%	24.8%	24.7%	24.5%	23.4%	23.7%	24.0%	23.4%
EBIT Growth		6.5%	19.1%	11.5%	10.6%	3.4%	0.0%	2.0%
EBIT Margin	21.2%	22.3%	22.4%	22.4%	21.5%	21.7%	21.9%	21.3%
PAT Growth		11.6%	18.3%	11.1%	14.1%	1.4%	3.9%	-0.3%
PAT Margin	15.4%	17.0%	17.0%	16.9%	16.7%	16.6%	17.4%	16.5%

Peers' Comparison (FY26)	HUL	ITC	NESTLEIND	VBL	BRITANNIA	MARICO	TATACONSUM
Gross Margin	50.9%	51.5%	55.3%	53.8%	41.8%	44.5%	41.5%
EBITDA Margin	23.4%	30.4%	22.9%	22.7%	18.5%	17.1%	13.7%
EBIT Margin	21.3%	28.5%	19.9%	17.2%	16.7%	15.6%	10.6%
PAT Margin	16.5%	23.4%	14.9%	13.7%	13.2%	13.3%	7.6%

Efficiency Ratios

Historical	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Inventory Turnover	14.4x	6.8x	7.0x	6.7x	7.6x	7.2x	7.1x	6.9x
Inventory Days	25	53	52	54	48	51	52	53
Receivables Turnover	43.3x	26.8x	32.4x	26.3x	22.8x	20.4x	18.0x	17.9x
Receivables Days	8	14	11	14	16	18	20	20
Payables Turnover	5.1x	2.5x	2.7x	2.9x	3.4x	3.0x	2.6x	2.5x
Payables Days	71	147	135	127	107	123	140	147
Working Capital Days	15	29	24	26	28	40	42	25
Cash Conversion Cycle	-37	-80	-71	-58	-43	-54	-68	-74
Total Asset Turnover	4.2x	2.1x	1.1x	0.8x	0.8x	0.8x	0.8x	0.8x
Net Fixed Asset Turnover	16.7x	7.8x	1.7x	1.0x	1.2x	1.2x	1.1x	1.2x
Sales/Capital Employed	3.9x	3.7x	0.8x	0.9x	1.0x	0.9x	1.0x	1.0x

Hindustan Unilever Limited

Financial Ratios Analysis:

Solvency Ratios

Historical	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Debt to Equity	2.27x	2.07x	1.84x	1.44x	1.28x	1.18x	1.07x	1.03x
Debt to Capital	0.69x	0.67x	0.65x	0.59x	0.56x	0.54x	0.52x	0.51x
Debt to EBITDA	5.40x	6.30x	4.70x	6.50x	4.70x	3.70x	3.30x	3.30x
Debt to Assets	0.49x	0.48x	0.46x	0.46x	0.45x	0.40x	0.35x	0.33x
CFO to Debt	0.00x	0.00x	0.09x	0.15x	0.07x	0.24x	0.29x	0.24x
Interest Coverage	1.55x	1.05x	1.53x	1.10x	1.83x	2.62x	3.08x	3.67x
Operating Leverage		3.86x	13.61x	2.05x	1.83x	1.33x	0.82x	0.37x
Financial Leverage	4.62x	4.28x	4.02x	3.14x	2.85x	2.95x	3.06x	3.15x

Peers' Comparison (FY26)	HUL	ITC	NESTLEIND	VBL	BRITANNIA	MARICO
Debt to Equity	1.03x	1.12x	1.03x	0.60x	0.72x	0.42x
Interest Coverage	3.67x	5.76x	2.66x	7.81x	4.90x	11.86x
Financial Leverage	3.15x	3.50x	2.39x	2.02x	2.32x	2.07x

Cash Flow Ratios

Historical	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Free Cash Flow			213	581	173	827	1,062	764
Free Cash Flow growth				17%	-70%	378%	28%	-28%
Cash Flow from Operations			320	629	264	1,013	1,322	1,209
CFO growth				97%	-58%	284%	31%	-9%
Free Cash Flow to Sales			2.00%	7.00%	2.00%	6.00%	6.00%	3.00%
CFO to EBITDA			40.0%	101.0%	31.0%	87.0%	97.0%	80.0%

Peers' Comparison (FY26)	HUL		ITC		VBL		BRITANNIA		MARICO		NESTLEIND	
Particulars	Mar-25	Mar-26	Mar-25	Mar-26	Mar-25	Mar-26	Mar-25	Mar-26	Mar-25	Mar-26	Mar-25	Mar-26
Free Cash Flow	1,322	1,209	1,024	-1,011	-324	-238	-24	-728	330	-424	-	-19
Cash Flow from Operations	1,322	1,209	1,695	-541	-290	-206	6	-7	330	-424	-	-19
CFO to EBITDA	97.0%	80.0%	54.2%	-9.6%	-55.8%	-36.0%	16.0%	-176.0%	175.0%	-166.0%	0.0%	-11.0%

Valuation Ratios

Historical	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Price to Earnings	-	-	-	1253.0x	27	25	74	67
Price to Book value	-	-	-	3	200%	300%	1000%	1000%
Price to CFO	-	-	-	12.0x	23	10	32	39
Enterprise Value	-	-	-	7,520	6,124	1083600%	4396100%	4814100%
EV to EBITDA				12.0x	700.00%	900.00%	3200.00%	3200.00%

Peers' Comparison (FY26)	HUL	ITC	NESTLEIND	VBL	BRITANNIA	MARICO
Price to Earnings	67	82	27	31	53	27
Price to Book value	10	23	2	4	6	8
EV to EBITDA	32	48	12	20	28	18

he company's solvency parameters, such as interest coverage and debt-to-equity ratio, have improved due to professional management of the debt and the capital structure with the help of Warburg Pincus, a private equity firm, which had a significant stake in the ownership. The cash flows of the company grew dramatically, but almost all the peers reported negative cash flows for FY25 due to the inventory loss that occurred because of the customs duty reduction. The company enjoys a premium valuation as compared to its listed comparable peers, second only to the market leader, because of the high revenue growth posted in recent years, owing to the expansion through an asset-light franchise model in the higher margin yielding, non-South India market, leading to significant re-rating in the last couple of years.

Source: Company Analysis

Academic Research Report

Hindustan Unilever Limited

DuPont Analysis

Return on Equity (ROE)	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NET PROFIT	₹ 8,887.1	₹ 10,142.8	₹ 10,281.6	₹ 10,679.6	₹ 10,651.8
AVERAGE SHAREHOLDERS EQUITY	₹ 48,390.5	₹ 49,804.5	₹ 50,972.5	₹ 50,516.0	₹ 49,308.5
RETURN ON EQUITY	**18.37%**	**20.37%**	**20.17%**	**21.14%**	**21.60%**

ROE - DUPONT EQUATION	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NET PROFIT	₹ 8,887.1	₹ 10,142.8	₹ 10,281.6	₹ 10,679.6	₹ 10,651.8
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
NET PROFIT MARGIN (A)	**16.95%**	**16.74%**	**16.61%**	**17.41%**	**16.52%**
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
AVERAGE TOTAL ASSETS	₹ 69,637.0	₹ 71,802.0	₹ 75,793.0	₹ 79,189.5	₹ 79,816.0
ASSET TURNOVER RATIO (B)	**0.75x**	**0.84x**	**0.82x**	**0.77x**	**0.81x**
AVERAGE TOTAL ASSETS	₹ 69,637.0	₹ 71,802.0	₹ 75,793.0	₹ 79,189.5	₹ 79,816.0
AVERAGE SHAREHOLDERS EQUITY	₹ 48,390.5	₹ 49,804.5	₹ 50,972.5	₹ 50,516.0	₹ 49,308.5
EQUITY MULTIPLIER (C)	**1.44x**	**1.44x**	**1.49x**	**1.57x**	**1.62x**
RETURN ON EQUITY (A*B*C)	**18.37%**	**20.37%**	**20.17%**	**21.14%**	**21.60%**

RETURN ON ASSETS (ROA)	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NET PROFIT	₹ 8,887.1	₹ 10,142.8	₹ 10,281.6	₹ 10,679.6	₹ 10,651.8
AVERAGE TOTAL ASSETS	₹ 69,637.0	₹ 71,802.0	₹ 75,793.0	₹ 79,189.5	₹ 79,816.0
RETURN ON ASSETS (ROA)	**12.76%**	**14.13%**	**13.57%**	**13.49%**	**13.35%**

ROA - DUPONT EQUATION	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NET PROFIT	₹ 8,887.1	₹ 10,142.8	₹ 10,281.6	₹ 10,679.6	₹ 10,651.8
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
NET PROFIT MARGIN (A)	**16.95%**	**16.74%**	**16.61%**	**17.41%**	**16.52%**
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
AVERAGE TOTAL ASSETS	₹ 69,637.0	₹ 71,802.0	₹ 75,793.0	₹ 79,189.5	₹ 79,816.0
ASSET TURNOVER RATIO (B)	**0.75x**	**0.84x**	**0.82x**	**0.77x**	**0.81x**
RETURN ON ASSETS (A*B)	**12.76%**	**14.13%**	**13.57%**	**13.49%**	**13.35%**

RETURN ON CAPITAL EMPLOYED (ROCE)	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NOPAT	₹ 8,806.3	₹ 9,889.7	₹ 9,927.9	₹ 9,957.9	₹ 10,581.6
AVERAGE CAPITAL EMPLOYED	₹ 58,445.5	₹ 60,148.0	₹ 63,341.0	₹ 64,483.0	₹ 63,773.0
RETURN ON CAPITAL EMPLOYED	**15.07%**	**16.44%**	**15.67%**	**15.44%**	**16.59%**

ROCE - DUPONT EQUATION	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NOPAT	₹ 8,806.3	₹ 9,889.7	₹ 9,927.9	₹ 9,957.9	₹ 10,581.6
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
NOPAT MARGIN (A)	**16.79%**	**16.32%**	**16.04%**	**16.24%**	**16.41%**
REVENUE	₹ 52,446.0	₹ 60,580.0	₹ 61,896.0	₹ 61,328.0	₹ 64,468.0
AVERAGE CAPITAL EMPLOYED	₹ 58,445.5	₹ 60,148.0	₹ 63,341.0	₹ 64,483.0	₹ 63,773.0
CAPITAL TURNOVER RATIO (B)	**0.90x**	**1.01x**	**0.98x**	**0.95x**	**1.01x**
RETURN ON CAPITAL EMPLOYED (A*B)	**15.07%**	**16.44%**	**15.67%**	**15.44%**	**16.59%**

Source: Company Analysis

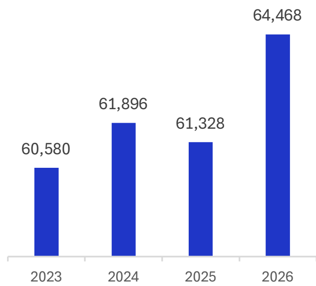
Academic Research Report

Hindustan Unilever Limited

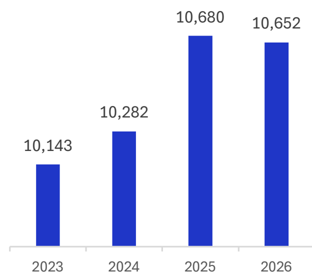
Hindustan Unilever Limited

DuPont Analysis

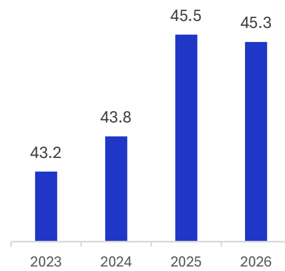
Revenue (INR Crs.)



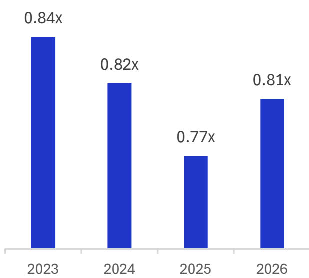
Net Profit (INR Crs.)



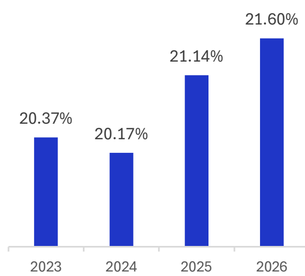
Earnings Per Share (in Rs.)



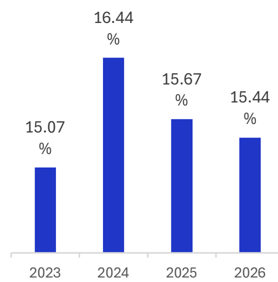
Asset Turnover Ratio



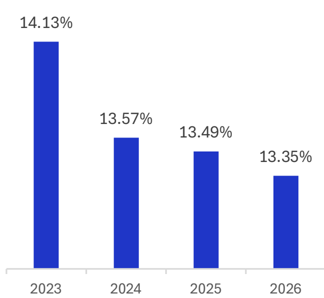
Return on Equity



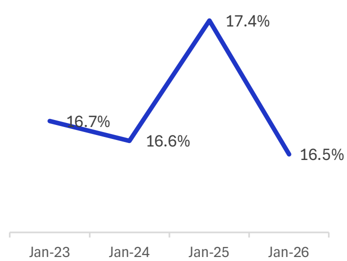
Return on Capital



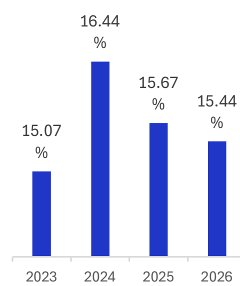
Return on Assets



Net Margins



Peers Comparison



MOAT ASSESSMENT

	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Gross Profit Margin	50.9%	47.6%	51.9%	51.5%	50.9%
EBITDA Margin	24.5%	23.4%	23.7%	24.0%	23.4%
Net Profit Margin	16.9%	16.7%	16.6%	17.4%	16.5%
ROIC	14.9%	16.2%	15.1%	15.7%	16.5%
ROCE	15.1%	16.4%	15.7%	15.4%	16.6%
ROE	18.4%	20.4%	20.2%	21.1%	21.6%
EPS	₹ 37.82	₹ 43.17	₹ 43.76	₹ 45.45	₹ 45.33
ROA	12.8%	14.1%	13.6%	13.5%	13.3%

Academic Research Report

Hindustan Unilever Limited

DuPont Analysis

PEER COMPARISON (DUPONT EQUATION)	HUL	ITC	NESTLEIND	BRITANNIA	MARICO
NET PROFIT MARGIN (A)	16.52%	5.5%	2.6%	2.8%	2.4%
ASSET TURNOVER RATIO (B)	0.81	1.49	1.32	2.45	1.92
EQUITY MULTIPLIER (C)	1.62	3.50	2.39	2.02	2.32
RETURN ON EQUITY (A*B*C)	**21.60%**	**28.8%**	**8.3%**	**14.0%**	**10.8%**

PEER COMPARISON	HUL	AVERAGE	MEDIAN
NET PROFIT MARGIN (A)	16.52%	6.0%	2.8%
ASSET TURNOVER RATIO (B)	0.81	1.60	1.49
EQUITY MULTIPLIER (C)	1.62	2.37	2.32
RETURN ON EQUITY (A*B*C)	**21.60%**	22.7%	9.8%

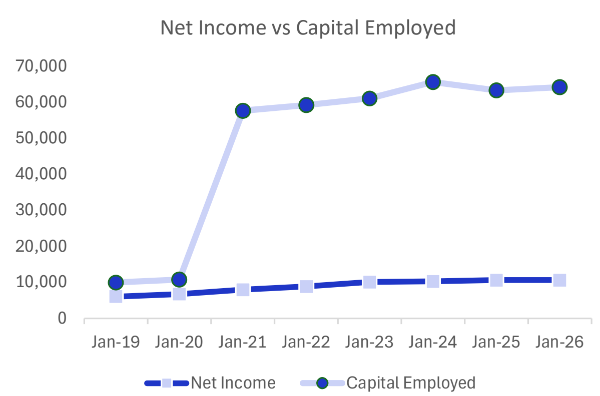
Source: Company Analysis

DuPont Summary:
The company's ROE has been consistently rising from -0.25% in FY21 to 15.88% in FY25, owing to its expanding net profit margins from 0.07% in FY21 to 2.85% in FY25 and improving asset turnover ratio from 1x in FY21 to 1.79x in FY25, which depicts efficiency in asset deployment resulting higher profitability. • The financial leverage was getting reduced till FY23, but it's again on an uptrend since then, and stands at 3.11x in FY25. • The ROA of the company is improving from -0.07% in FY21 to 5.11% in FY25, because of the increasing asset efficiency and net profit margin. • The ROCE has reached 10.05% in FY25 from -1.06% in FY21, due to the efficient capital employment and rising profitability. • In terms of ROE, the company fared better than most of its peers, except the market leader. While the market leader enjoys the superior margins and operates in higher financial leverage, resulting in industry-leading Return on Equity, Kalyan Jeweller's industry-par ROE is mainly attributed to the higher financial leverage, not the superior net

ROIIC Profiling

Rs Cr	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Income	6,059.8	6,764.2	8,000.1	8,887.1	10,142.8	10,281.6	10,679.6	10,651.8
Capital Employed	9,962.0	10,836.0	57,654.0	59,237.0	61,059.0	65,623.0	63,343.0	64,203.0

ROIIC Profiling	
Cumulative Net Income	71,466.9
Incremental Capital Deployed	54,241.0
Reinvestment Rate	***76%***
Incremental Net Income	4,592.02
ROIIC	8%
Intrinsic Compounding Rate	***6%***
Stock Price (5 Year CAGR)	



Source: Company Analysis

Hindustan Unilever Limited

Hindustan Unilever Limited

DCF Valuation

	Historical				Explicit Growth Period				
Particulars	**2023A**	**2024A**	**2025A**	**2026A**	**2027F**	**2028F**	**2029F**	**2030F**	**2031F**
Total Sales	60,580	61,896	61,328	64,468	65,838	67,226	69,323	71,021	72,839
Sales Growth		*2.17%*	*-0.92%*	*5.12%*	*2.1%*	*2.1%*	*3.1%*	*2.5%*	*2.6%*
EBIT Margin	21%	22%	22%	21%	21.6%	21.6%	21.6%	21.5%	21.6%
EBIT	**13,011**	**13,447**	**13,453**	**13,721**	**14,225**	**14,546**	**14,985**	**15,295**	**15,732**
Less: Actual Tax Payment	3,201	3,644	3,748	3,160	3,439	3,498	3,461	3,389	3,447
NOPAT	**9,810**	**9,803**	**9,705**	**10,561**	**10,786**	**11,048**	**11,523**	**11,905**	**12,285**
Less: Capex	1,011	1,457	1,815	1,443	1,432	1,537	1,557	1,492	1,504
Less/Add: Change in Working Capital		3,478	-2,934	-2,042	-499	-499	-1,494	-1,134	-906
Add: Depreciation	1,137	1,216	1,253	1,333	1,235	1,259	1,270	1,274	1,260
Free Cash Flow to Firm		**6,084**	**12,077**	**12,493**	**11,089**	**11,270**	**12,730**	**12,821**	**12,947**
Cost of Capital									
Discounting Period (Yrs)					1	2	3	4	5
Present Value Factor					0.873	0.762	0.665	0.581	0.507
Present Value of Free Cash Flow to Firms					9,680	8,588	8,466	7,449	6,564

WACC Calculation		
Particulars		**Source**
Risk Free Rate	4.64%	*10Y Govt Bond Yield rate - investing.com*
Equity Risk Premium	14.37%	*Rm-Rf 4Y period*
Beta (4Y- Daily)	1.02	*Regression based beta*
Cost of Equity	**19.30%**	*Calculated using CAPM approach*
Corporate Credit Rating	A+	*ICRA Credit Rating Report - 31 Dec 2026*
Corporate Default Spread	4.37%	*Excess returns over Rf rate - GoldenPi.com*
Cost of Debt (Pre - Tax)	**10.98%**	*Rf rate + Corporate Default Spread*
Marginal Tax Rate	22.88%	*Notified Tax rate in Finance Bill, 2026*
Cost of Debt (Post - Tax)	**8.47%**	*Cost of Debt post Tax shield*
Debt to Equity Ratio	1.04	*Latest financials*
Debt to Capital Ratio	0.51	*Latest financials*
Weighted Average Cost of Capital	24.39%	

Commentary on Valuation

he DCF-based equity value/share of the company came out to be INR 136, significantly lower than the premium valuation that the market has given to the stock price, considering the exceptional past performance on the growth and returns front, and factoring in the huge expansion planned for the coming years. While the company's performance on various financial metrics has been exceptional but the persisting premium valuation is not justified considering the margins are getting strained continually, and the current free cash flow generation ability of the business. Key considerations regarding the business are: • Intense competition at the store level, resulting in loss or saturation of market share, price wars in the already lower product differentiation business, and increasing spend on advertisement and promotion, hence lower EBITDA margin. • Steep rise in the gold prices, causing the postponement or cancellation of the discretionary spending on jewellery and affecting the revenue and profitability growth. • Delay in scaling the omnichannel business (Candere), eventually leading to the loss of the kickstart in the emerging digital and lightweight jewellery business in the domestic market.

DCF Valuation	
Terminal Year FCFF	4.64%
Terminal Year Growth Rate	14.37%
Value of Terminal Cash Flow at 5th Year	1.02
Present Value of Terminal Cash Flow	**19.30%**
Present Value of Forecasted Cash Flow	A+
Firm value/ Enterprise Value	4.37%
Less: Value of Debt	**10.98%**
Add: Cash & Non-Operating Investments	22.88%
Less: Value of Stock Options/Warrants	**8.47%**
Equity Value	1.04
Number of Shares(in crore)	0.51
Equity Value/Share	24.39%
Market Price/Share	137.70%
Verdict	

Source: Company Analysis

Academic Research Report

Hindustan Unilever Limited

Corporate Valuation

Company	Ticker	Market Data: Share Price	Share Outstanding	Equity Value	Net Debt	Enterprise Value	Financials: Revenue	EBITDA	Net Income	Valuation: EV/Revenue	EV/EBITDA	P/E
Hindustan Unilever Ltd.	HUL	2028	235.0	476499	1478	477977	66052	15054	14971	7.2x	31.8x	31.8x
Indian Tobacco Company	ITC	272	1253.0	340372	2399	342771	76488	23252	20184	4.5x	14.7x	16.9x
Nestle India Ltd.	NESTLEIND	1458	192.8	281146	444	281590	24437	5596	3860	11.5x	50.3x	72.8x
Varun Beverages	VBL	438	338.3	148255	2508	150763	24126	5477	3409	6.2x	27.5x	43.5x
Britannia Industries	BRITANNIA	5548	24.1	133651	1380	135032	19529	3613	2610	6.9x	37.4x	51.2x
Marico Ltd.	MARICO	858	129.8	111448	557	112005	14277	2441	1952	7.8x	45.9x	57.1x
Tata Consumer Products Ltd.	TATACONSUM	1056	99.0	104542	2820	107362	20860	2858	1642	5.1x	37.6x	63.7x
High										11.5x	50.3x	72.8x
75th Percentile										7.7x	43.8x	55.6x
Average										**7.4x**	**34.6x**	**45.6x**
Median										**7.1x**	**34.6x**	**47.3x**
25th Percentile										5.8x	24.3x	28.1x
Low										4.5x	14.7x	16.9x

HUL Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	467340	520307	708787
Net Debt	1478	1478	1478
Implied Market Value	465862	518829	707309
Shares Outstanding	234.96	234.96	234.96
Implied Value per Share	**1982.7**	**2208.2**	**3010.3**
	Overvalued	Undervalued	Undervalued

Source: Company Analysis

Hindustan Unilever Limited

Analysts' Coverage

S.No.	Date	Research House	Rating	Price at Recommendation	Target
1	15-07-2026	ICICI Securities	Buy	2102	2800
2	22-06-2026	Motilal Oswal	Buy	2185	2650
3	02-05-2026	ICICI Securities	Buy	2251	2800
4	02-05-2026	Motilal Oswal	Buy	2251	2650
5	20-04-2026	ICICI Securities	Buy	2232	2800
6	12-02-2026	Motilal Oswal	Buy	2410	2800
7	16-02-2026	ICICI Direct	Hold	2319	2460
8	23-10-2025	Motilal Oswal	Buy	2602	3050
9	01-08-2025	ICICI Securities	Hold	2522	2625
10	31-07-2025	Motilal Oswal	Buy	2521	3000
11	27-06-2025	Motilal Oswal	Buy	2307	2750
12	24-04-2025	Motilal Oswal	Buy	2325	2850
13	23-01-2025	ICICI Securities	Hold	2343	2538